

ASIAN PAINTS LTD (ASIANPAINT)

Integrated Three-Statement Financial Model & Valuation

Company	Asian Paints Ltd (NSE: ASIANPAINT, BSE: 500820)	BLUE - Constants
Sector	Paints & Home Décor (Consumer Discretionary)	BLACK - Formulas (same sheet)
Historical Period	FY2022 – FY2026 (year ending 31 March)	GREEN - Links to other sheets
Forecast Period	FY2027E – FY2031E	
Valuation Methods	Discounted Cash Flow (FCFF) + Relative Valuation (Comparables)	
Prepared As On	18 August 2026	
Currency	INR Crores unless stated otherwise	
Primary Data Sources	screener.in (consolidated) · ICICI Direct Q4FY26 Result Update · Company Investor Relations	

Workbook Map

Historical Data	5-year historical IS / BS / CF, ratios, market snapshot
Ratio Analysis	Liquidity, solvency, profitability, turnover, earnings ratios
Assumptions	Forecast drivers with justification
Working Capital Schedule	Receivables / inventory / payables via days assumptions
Dep & Capex Schedule	Asset roll-forward: capex additions, depreciation
Debt Schedule	Debt roll-forward, repayments, interest expense
Income Statement	Projected P&L FY27E-FY31E
Balance Sheet	Projected balance sheet (balances by construction)
Cash Flow	Projected cash flow (cash links back to balance sheet)
Valuation	DCF (FCFF) + relative valuation + football field
Recommendation	Buy / Hold / Sell with rationale and risks

VALUATION

(All figures in ₹ Crores except per-share data)

1. COST OF CAPITAL (WACC)

Market value of equity	2,52,077.8	share price × number of shares
Market value of debt (incl. leases, FY26)	3,929.0	book value used as proxy
Total capital	2,56,006.8	
Weight of equity	98.5%	
Weight of debt	1.5%	
Cost of equity (Ke)	11.60%	from Assumptions (CAPM)
Post-tax cost of debt	5.51%	7.5% × (1 – 26.5% tax)
WACC	11.51%	the blended return the company must earn for its investors

2. DISCOUNTED CASH FLOW (FCFF)

	FY27E	FY28E	FY29E	FY30E	FY31E	
EBITDA	7,318.4	8,303.7	9,332.8	10,328.3	11,434.1	
Less: Depreciation	(1,436.8)	(1,502.7)	(1,558.4)	(1,615.9)	(1,688.6)	
EBIT	5,881.5	6,801.0	7,774.4	8,712.4	9,745.4	other income excluded — treasury cash is added separately below
NOPAT = EBIT × (1 – tax)	4,322.9	4,998.7	5,714.2	6,403.6	7,162.9	
Add: Depreciation	1,436.8	1,502.7	1,558.4	1,615.9	1,688.6	
Less: Capex	(2,010.5)	(2,009.0)	(1,964.8)	(2,151.7)	(2,345.4)	
Add: Working-capital change	(792.6)	(676.3)	(662.9)	(681.5)	(685.8)	negative = cash absorbed by growth
Free Cash Flow to Firm (FCFF)	2,956.7	3,816.2	4,644.9	5,186.3	5,820.3	FCFF represents operating cash flows only; non-operating cash and investments are added separately in the EV-to-equity bridge.
Discount period (mid-year)	0.5	1.5	2.5	3.5	4.5	cash arrives through the year, not on 31 March
Discount factor	0.947	0.849	0.762	0.683	0.613	
PV of FCFF	2,800.0	3,241.0	3,537.7	3,542.5	3,565.3	
Sum of PV, FY27E–FY31E	16,686.4					
Terminal growth rate (g)	4.5%					from Assumptions
Terminal value at FY31	86,807.1					FY31 cash flow growing at g forever
PV of terminal value	53,174.5					≈76% of enterprise value comes from the terminal value — treat the DCF as a cross-check and read it together with the sensitivity grid, not as a precise intrinsic value.
Enterprise Value	69,860.9					
Add: Cash + investments (FY26)	8,135.8					Composition: cash ₹1,073.8 Cr + current investments ₹6,285.8 Cr + non-current investments ₹776.1 Cr — same consolidated basis throughout
Less: Debt incl. leases (FY26)	(3,929.0)					
Equity Value	74,067.7					
Shares outstanding (Cr)	95.92					
DCF INTRINSIC VALUE PER SHARE (₹)	772					
CMP premium over DCF value	240.3%					how much extra the market pays vs pure DCF maths

3. DCF SENSITIVITY — intrinsic value per share (₹)

WACC ↓ \ Terminal growth →	3.5%	4.0%	4.5%	5.0%	5.5%
10.5%	794	841	896	961	1,039
11.0%	743	784	830	884	948
11.5%	699	733	773	818	872
12.0%	660	690	724	762	807
12.5%	625	651	680	714	752

4. RELATIVE VALUATION (COMPARABLE COMPANIES)

Peer	P/E (times)	ROCE %	
Asian Paints (trailing TTM)	51.6	26.3%	Source: screener.in, 18-Aug-2026
Berger Paints	50.9	21.6%	
Kansai Nerolac	25.2	12.0%	

FY27E EPS (₹)	49.5	from the model
Target multiple (times)	48.0	Selection bridge: peer anchor ~51× (Berger) ~ ~5× discount for competitive intensity + ~2× premium for superior ROCE (26% vs 22%) ≈ 48×. Own 55–60× history is treated as a ceiling; 40×/55× serve as bear/bull.
Bear case: 40 times FY27E EPS (₹/share)	1,979	if competition keeps hurting
BASE CASE: 48 times FY27E EPS (₹/share)	2,375	primary fair-value estimate
Bull case: 55 times FY27E EPS (₹/share)	2,721	back to its historical premium

5. VALUATION SUMMARY & VERDICT

DCF intrinsic value (₹)	772	pure cash-flow maths
Relative — bear 40 times (₹)	1,979	

Relative — base 48 times (₹)	2,375	primary method
Relative — bull 55 times (₹)	2,721	
Broker reference: ICICI Direct target (₹)	3,180	Buy, June-2026, at 52 times FY28E EPS
FAIR VALUE (base case, ₹/share)	2,375	relative valuation is the primary method; DCF is the cross-check
Current market price (₹)	2,628	
CMP vs fair value	10.7%	positive = market price is above fair value
VERDICT	OVERVALUED	

6. SCENARIO ANALYSIS — BEAR / BASE / BULL (integrated operating cases)

Case	FCFF scale	Terminal g	DCF ₹/share	P/E (times) FY27E	EPS scale	relative ₹/share	What the case assumes
Bear	0.85	4.0%	629	40.0	0.90	1,781	Discount war continues: growth ~2pp lower, margins stay ~17.5%, working capital flat — FCFF ~15% lower; multiple de-rates to 40.
Base	1.00	4.5%	772	48.0	1.00	2,375	The model's central case (as built above).
Bull	1.10	5.0%	895	55.0	1.05	2,857	Premiumisation + VAM-VAE beat: margins cross 20%, competition rationalises — FCFF ~10% higher; re-rates to its historical 55 multiple.

Even the Bull case's relative value only just reaches today's price — the market is already paying for the good outcome.

INVESTMENT RECOMMENDATION

(All figures in ₹ Crores except per-share data)

RECOMMENDATION		
Current market price (₹)	2,628	
Fair value — base case (₹)	2,375	
DCF cross-check value (₹)	772	
Valuation verdict	OVERVALUED	
Expected return to fair value	-9.6%	
RATING (12 months)	HOLD	HOLD — keep what you own, don't add fresh money at this price. The business is excellent but the price is ~11% ahead of fair value; a better entry is below ~₹2,140 (~10% discount to fair value).

WHY — THE FOUR PILLARS OF THE CALL		
Growth prospects	GOOD	Volumes are back (8.7% in FY26, 12.4% in the Jan–Mar quarter — best in 3 years). Management guides 8–10% volume growth; our model shows ~10.5% yearly sales growth and ~12.5% PAT CAGR (FY26A–FY31E) to FY31.
Competitive position	STRONG BUT UNDER ATTACK	Still the clear #1 with 50%+ of the branded market, an unmatched 1.7-lakh-shop network and the PreLux premium engine. But Birla Opus (₹10,000 Cr war-chest) and JSW/Akzo mean pricing power is no longer unquestioned.
Financial strength	EXCELLENT	More cash than debt (~₹3,400 Cr net cash growing to ~₹11,000 Cr by FY31), interest covered 26–43 times, ROCE recovering toward 29%, record ₹7,088 Cr operating cash flow in FY26, 60% of profit paid as dividend every year.
Valuation	THE PROBLEM	At ₹2,628 you pay 58 times last year's profit. Our fair value is ₹2,375 (48 times next year's profit — already below Berger's 51 times). The DCF (₹772) shows how much future growth is pre-paid in today's price. Price is ~11% above value.

KEY RISKS TO THE CALL	
Downside risks	(1) Birla Opus/JSW keep discounting and market share slips further; (2) crude oil spikes squeeze margins below the 18% floor; (3) the CCI investigation ends badly for the dealer network; (4) urban demand stays weak and the festive-season boost disappoints.
Upside risks (what could make HOLD wrong)	(1) Premiumisation runs faster than assumed and margins beat 20%; (2) VAM-VAE backward integration adds more margin than modelled from FY28; (3) competition rationalises early (discount war ends), re-rating the stock back to its 55–60 times historical multiple (~ ₹2,700–2,960 on FY27E).

WHAT TO DO — ACTION TRIGGERS	
If you own the stock	Keep it. The franchise compounds ~12.5% a year in our model and pays a growing dividend; selling a quality compounder for an 11% valuation gap usually costs more in taxes and re-entry timing than it saves.
If you want to buy	Wait for ~₹2,140 or lower (~10% below fair value), or for proof that market share has stabilised for 2–3 quarters with margins holding 19%+.
Re-rate the call UP if	Volume growth sustains above 10%, EBITDA margin crosses 20%, or Birla Opus visibly retreats from discounting.
Re-rate the call DOWN if	FY27 volume growth falls below 5%, margins break below 17%, or the CCI matter results in structural changes to the dealer network.
Bottom line: a great company at a not-great price. HOLD.	